

16 July 2020

Mr Richard McLean
2 McCubbin Street
Footscray Vic 3011

Dear Mr McLean

RE: AUSTRALIAN FINANCIAL COMPLAINTS AUTHORITY (AFCA) CASE NUMBER 737458 – RICHARD MCLEAN

I am writing in relation to your dispute lodged with the Australian Financial Complaints Authority ('AFCA') on 3 July 2020. Please allow me to respond on behalf of the Bendigo and Adelaide Bank Ltd ('the Bank').

The Bank's understanding of your dispute

It is the Bank's understanding that you are seeking a refund of transaction fees applied to your account as you have been on a Disability Support Pension since 2006. You have stated that the account was opened in 2011 and have estimated that over this period of time you have incurred more than \$6,000.00 in transaction fees.

You would like a calculation completed and full reimbursement applied to your account.

The Bank's position

Following a review of your account (number 142409507), I can confirm that it was opened on 22 February 2011, as a Bendigo Ultimate Account. This account was subject to an account rebate of \$4.00 each month for transaction fees applied.

The account was converted to a Concession Account on 2 July 2020.

When you opened your account in 2011, the Bank did not have a product available that was tailored to customers who held a concession card.

For your ease of reference, I have enclosed a copy of the Terms and Conditions, and Schedules of Fees and Charges that were applicable at the time that you opened the account.

In March 2016, the Bank introduced a Concession Account, which for eligible customers, does not incur transaction fees or debit card fees.

As with the introduction of any new product, the Bank does not actively contact its entire customer base to advise them of a new product that may potentially suit them. The Bank does share the details of new products on our website. However, the onus is on the customer to routinely review their banking needs.

A part of the criteria for the Concession Account, is that a customer's qualifying Government pension or allowance must be paid into the account. Following a review of your account, I can see that payments from Centrelink commenced crediting your account on 5 September 2019. You also changed your card from an Easy Money cash card to a Mastercard debit card.

For clarity, I have completed a calculation of transaction fees applied to your account from 1 April 2016 (following introduction of Concession Account) to present, and from 1 October 2019 (following receipt of Centrelink payments) until present.

From 1 April 2016 until present: \$390.90 (transaction fees) plus \$33.00 (debit card fees)

From 1 October 2019 until present: \$274.30 (transaction fees) plus \$33.00 (debit card fees)

Please note that these figures are not inclusive of the refund of \$41.40 that was applied by the Dingley Village Branch for transaction and debit card fees applied on 1 July 2020.

For your ease of reference, I have enclosed a table that details the transaction fees and debit card fees applied each month from 1 April 2016.

Whilst the Bank acknowledges that you have been receiving a Disability Support Pension since 2006, the Bank did not introduce a Concession Account until 2016. Additionally, there were no relevant conversations held until July 2020 that would have led to converting your account to a Concession Account.

The Bank would also like to mention that on 12 October 2016, you updated your statement preference to receive your statements electronically. Your statements are issued monthly, and you are a regular user of e-banking.

Conclusion

Taking all this information into consideration, the Bank is confident that it has applied transaction fees to your account appropriately and in accordance with the Terms and Conditions applicable to your account.

Additionally, given the length of time you have had this account and the change to e-statements on 12 October 2016, the Bank is of the view that you should have become reasonably aware of the transaction fees being applied to your account and taken steps to discuss this with us sooner.

As the branch has already provided you with a refund of \$41.40, no further reimbursement will be forthcoming.

Whilst the Bank acknowledges that this is not the outcome you were seeking; I trust that this response has clarified the matter for you.

Should you have any further queries, please contact me directly on 03 5485 7919 or alternatively on 1300 139 572.

Yours sincerely



Erin
Senior Case Manager – Escalated Complaints
Bendigo & Adelaide Bank Ltd

cc Australian Financial Complaints Authority

Further Assistance

We do not anticipate a situation where we cannot resolve a complaint to your satisfaction. However, should you remain dissatisfied with the Bank's final response to your complaint, you may continue to liaise with AFCA per the below.

- Online: www.afca.org.au
- Email: info@afca.org.au
- Phone: 1800 931 678
- Mail: Australian Financial Complaints Authority GPO Box 3 Melbourne VIC 3001

Time limits may apply to complain to AFCA and so you should act promptly or otherwise consult the AFCA website to find out if or when the time limit relevant to your circumstances expire.